

Interim Condensed Financial Statements

For The Period Ended 30 June 2020

Overview

The Directors of Umeme Limited are pleased to announce the interim condensed Financial Statements (unaudited) for the six months ended 30th June 2020.

Following a good start in the first quarter of 2020 indicative of growth prospects from 2019, the Company's operational and financial performance was negatively impacted by the effects of the COVID-19 pandemic, during the second quarter.

In response to the pandemic and corresponding Directives issued by the Ministry of Health, the Company continues to implement its business continuity measures to minimize the impact of the pandemic on the business operations and liquidity, while striving to maintain the supply of electricity to the Country. We prioritise the safety of our staff, electricity supply to our customers and optimisation of business operations in the period. We appreciate the support provided by the Government during these unprecedented times, to enable us to continue providing electricity as an essential service.



Operational Review

Safety

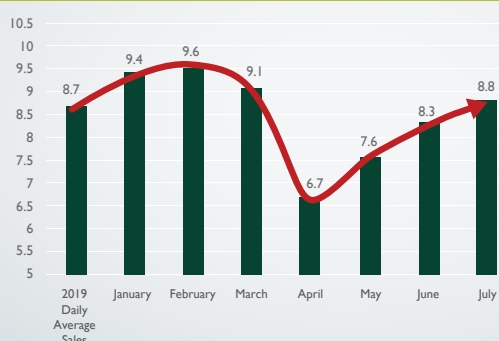
We are committed to the safety of our Staff, Contractors and Customers. COVID-19 has increased our challenges, both practically and financially, in keeping these stakeholders safe, and driven changes to our business operations to ensure compliance with guidelines and directives issued by the Government and the World Health Organisation.

In relation to network safety, fatal accidents resulting from illegal interference with the electricity distribution network reduced to 2 compared to 12 for the same period in 2019. Despite the improvement, the major causes continue to relate to illegal hooking on the network, power theft, vandalism of the distribution network infrastructure and poor inhouse wiring. We continue to conduct consumer campaigns across multiple media platforms to advocate for responsible electricity use and caution the public on the dangers of electricity. We urge the public to remain vigilant and to report any safety related incidents through any of our communications channels.

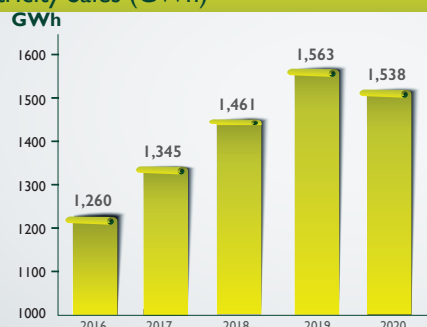
Electricity Demand

As a result of the pandemic, electricity demand reduced to as low as 29% in April 2020 during the lockdown period and for the six months to 30 June 2020, electricity sales reduced overall by 2% to 1,538 GWh down from 1,563 GWh for the same period in 2019. The impact on revenue due to reduction in sales volume is equivalent to Ushs 13 billion. As the restrictions are being eased, we continue to note recovery in demand with daily average sales improving to 93% of pre-COVID-19 daily average.

Daily Average Electricity Sales (GWh)



Electricity Sales (GWh)



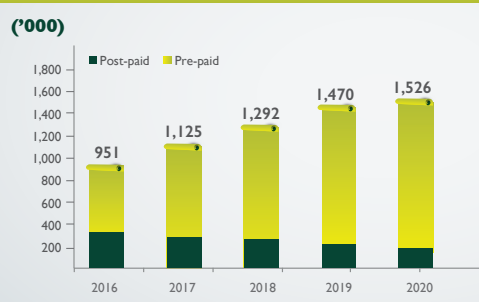
Customer Connections

Customers connected to the electricity grid increased by 4% to 1.52 million, through connection of 54,779 customers in the period, financed by the Government under the Electricity Connections Policy (ECP). As Government realigns the priorities and financial resources to drive the policy, in part brought by the unexpected COVID-19 pandemic, we continue to engage with the Ministry of Energy and Mineral Development (MEMD), the Rural Electrification Agency (REA) and the Electricity Regulatory Authority (ERA) for alternative funding mechanisms to accelerate the grid connections.

Rollout of Pre-paid metering

We converted 99,779 customers to prepayment metering, with the balance of 94,779 to be converted by the end of the year. Pre-paid metering is critical in the fight to reduce energy losses and improving company cashflows while delivering exceptional customer experience. Over 95% of single-phase customers are on prepaid metering, contributing 27% of the company revenues from electricity sales.

Customer Numbers



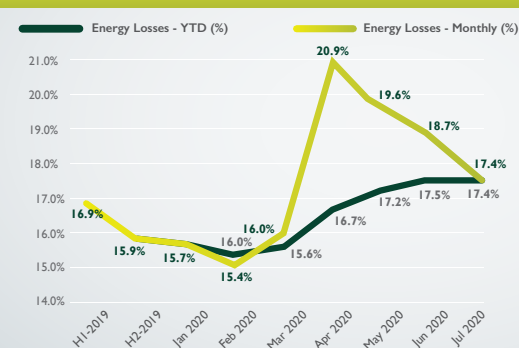
Regulatory Targets

- Energy losses** for the 6 months increased to 17.4% compared to 16.9% for the same period in 2019. Our field loss reduction activities had to be drastically scaled back during the lock down period, where we recorded a spike in commercial losses. The 3% energy losses gap to target of 14.5% translates into Ushs 27 billion negative impact on sales. The monthly losses are now reducing following the resumption of field activities.

Annual Energy Losses (%)

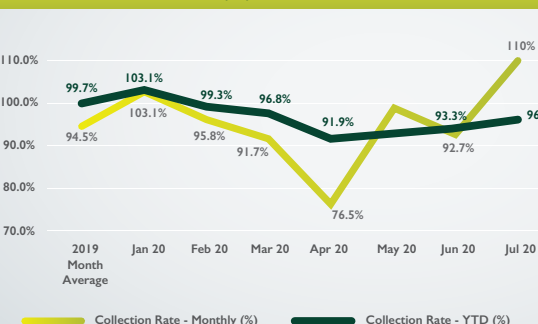


Monthly Energy Losses (%)



- Similarly, the **revenue collections** for the six months to June 2020 decreased to 93.3% compared to 98.7% achieved in the first half of 2019. We continue to note a general improvement in collections as the Covid-19 restrictions are eased.

Revenue Collection (%)



Capital Investments

As at 30 June 2020, we had invested Ushs 78 billion (US\$ 21 million) compared to Ushs 29 billion (US\$ 7.8 million) in the same period in 2019. Our capital investment program, as approved by the Regulator, of US\$ 83 million is focused on enabling growth in demand, improving quality of supply, energy losses reduction, digitization and completion of the roll out of prepaid metering. Projects worth US\$ 74.5 million are already committed and under implementation.



Regulatory Review

The regulatory environment remains critical to the sustainability of the Company. During the period:

- We applied to recover consideration of Ushs. 48 billion (US\$ 13m) excluded from the 2020 tariffs by the Electricity Regulatory Authority, related to implementation of the revised regulatory targets for the 6 years 2019 to 2025. While the Regulator has declined our application, we are appealing for reconsideration of the matter given the significant impact it has on our operational and financial performance.
- As requested, the Regulator has so far approved US\$ 83 million of capital investments for implementation during the year. The Company is taking a prudent approach in commitment and execution of the investments as approved by the Regulator, aligned to available financing, financial obligations and shareholder distributions.
- In the same spirit, the company is reviewing all the pending yet to be approved investments for reconsideration by the Regulator.
- The Company is closely monitoring and quantifying the effects of COVID-19 and related Government Directives, on our business operations, delivery of regulatory performance targets and financial results. We remain alert to the fast-changing nature of the pandemic and continue to adapt working practices to ensure safety of our employees and stakeholders. As provided for in the Concession Agreements, any resultant shortfalls in our distribution revenue requirement shall be submitted for consideration by the Regulator.
- In light of the current challenges with the pre-payment vending environment the Regulator has approved investment in the upgrade of the system. The upgraded system is expected to provide a better service experience to our customers through increased capacity, stable and faster throughput.



Financial Performance Review

Revenue

Revenue which includes revenues for electricity sales and revenues from completed ECP connections increased by 4% to Ushs 849 billion for the period compared to Ushs 816 billion in the same period in 2019. Electricity sales decreased by 5% to Ushs 778 billion in line with the prevailing price and the reduction in the underlying electricity unit sales. ECP revenues relating to completed connections of Ushs 52 billion was recognized during the period compared to Ushs 29 billion for the same period in 2019.

Cost of Sales

Cost of sales which includes cost of electricity purchases and cost of completed ECP connections increased by 19% to Ushs 617 billion for the six months ended 30 June 2020 from Ushs 520 billion for the same period in 2019. Electricity purchases increased by 12% to Ushs 544 billion from Ushs 487 billion compared to 2019 driven majorly by 12% increase in Bulk Supply Tariff. ECP costs relating to completed connections of Ushs 52 billion was equally recognized during the period.

Gross Profit

Gross profit for the period reduced by 22% to Ushs 232 billion from Ushs 296 billion in the same period in 2019 driven by distribution revenue shortfalls arising out of reduced electricity demand, increased energy losses and outstanding regulatory income recoveries.

Earnings Before Interest Taxation Depreciation and Amortisation (EBITDA)

EBITDA reduced by 38% to Ushs 121 billion in 2020 driven by performance on gross profits explained above and 13% increase in operating costs.

Profit after Tax

Correspondingly, Profit after Tax reduced by 64% to Ushs 22 billion from Ushs. 61 billion in the same period in 2019.

Balance Sheet Analysis

Total assets as of 30 June 2020 increased to Ushs 2,643 billion from Ushs 2,542 billion in 2019. Shareholder Equity increased by 5%, from Ushs 834 billion at 31 December 2019 to Ushs 873 billion at 30 June 2020.

Outstanding interest-bearing debt decreased to Ushs 502 billion at 30 June 2020 from Ushs 557 billion at the end of 2019. The Company paid down debt totalling Ushs 65 billion in settlement of the term facility with Standard Chartered Bank, Stanbic Bank Uganda Limited, International Finance Corporation (IFC) and a short-term revolving facility with dfcu Bank Limited.

Cash flows analysis

The Company generated Ushs 24 billion cashflows from operating activities for the period ended 30 June 2020 compared to Ushs 106 billion over the same period in 2019. Cash generation was impacted by delayed recoveries of ECP arrears of Ushs 94 billion and decline in sales and cash collections. The cash generated was used to fund part of our capital investments program and meet financing obligations.



Outlook and Conclusion

Following the lifting of some restrictions by Government, business has resumed and the outlook looks positive since July 2020; demand and collections have peaked while energy losses are reducing.

However, there are uncertainties related to COVID-19, the Company continues to focus on safety of staff, improving the operational performance, managing liquidity and resolving the regulatory challenges facing the Company.

As a consequence, the Directors do not recommend payment of an interim Dividend until such a time when the operating environment has improved significantly.

I take this opportunity to thank our Staff and Contractors who continue to show great flexibility in adapting to changing situation and remain committed to ensuring reliable and safe supply of electricity for Uganda under the most difficult of circumstances during and since lockdown. The noble service you are providing to Uganda is appreciated.

I would also like to thank our customers and stakeholders for the support of the Umeme business operations. We look forward to continued collaboration to achieve the Company, Sector and Country objectives.

On behalf of the Board

Patrick Bitature

Chairman, Board of Directors
14 August 2020

Revenue Distribution (UShs bn)				
Customer Category	HI 2020	HI 2019	Growth (y/y)	% Share
Domestic	240.0	223.3	5%	30%
Commercial	105.9	127.7	(17)%	14%
Industrial - Medium	145.9	172.6	(15)%	19%
Street Lighting	0.29	0.33	(12)%	0.0%
Industrial - Large	158.0	174.0	(9)%	20%
Industrial - Extra Large	134.0	123.6	8%	17%
Sub-total	778.1	821.5	(5)%	100%

Electricity Sales (GWh)				
Customer Category	HI 2020	HI 2019	Growth (y/y)	% Share
Domestic	342.3	320.4	6.8%	22%
Commercial	162.7	184.9	(12.0)%	11%
Industrial - Medium	224.6	252.8	(11.2)%	15%
Street Lighting	0.8	0.4	78.1%	0.0%
Industrial - Large	390.8	428.9	(8.9)%	25%
Industrial - Extra Large	417.1	375.5	11.1%	27%
Sub-total	1,538.3	1,562.9	(1.6)%	100%

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Extract of the Interim Financial Statements for the Six-Month Period Ended 30 June 2020

INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS

	Unaudited 6 months ended 30 June 2020 Ushs million	*Restated Unaudited 6 months ended 30 June 2019 Ushs million
Revenue from contracts with customers	848,823	815,683
Cost of sales	(616,764)	(519,605)
GROSS PROFIT	232,059	296,078
Repair and maintenance expenses	(21,582)	(16,125)
Administration expenses	(88,161)	(81,404)
Foreign exchange gains/(losses)	(4,849)	(525)
Increase in expected credit losses	(997)	(3,866)
OPERATING PROFIT BEFORE AMORTISATION, IMPAIRMENT, INTEREST AND TAX	116,470	194,158
Amortisation and write-off of intangible assets	(67,224)	(59,491)
OPERATING PROFIT	49,246	134,667
Finance income	9,724	8,874
Finance costs	(26,712)	(30,468)
PROFIT BEFORE TAX	32,258	113,073
Income tax charge	(10,491)	(51,835)
PROFIT FOR THE PERIOD	21,767	61,238
BASIC AND DILUTED EARNINGS PER SHARE	Ushs 13.4	Ushs 37.7

INTERIM CONDENSED STATEMENT OF CHANGES IN EQUITY

	Issued capital Ushs million	Share premium Ushs million	Retained earnings Ushs million	Translation reserve Ushs million	Total equity Ushs million
At 1 January 2019 ¹	27,748	70,292	473,294	202,502	773,836
Profit for the period	-	-	61,238	-	61,238
Other comprehensive income, net of tax	-	-	-	41,184	41,184
Total other comprehensive income, net of tax	-	-	61,238	41,184	102,422
2018 interim dividend paid	-	-	(20,623)	-	(20,623)
At 30 June 2019 – unaudited	27,748	70,292	513,909	243,686	855,635
At 1 January 2020	27,748	70,292	546,030	189,450	833,520
Profit for the period	-	-	21,767	-	21,767
Other comprehensive loss, net of tax	-	-	-	17,852	17,852
Total other comprehensive income, net of tax	-	-	21,767	17,852	39,619
At 30 June 2020 – unaudited	27,748	70,292	567,797	207,302	873,139

¹ Refer to the latest audited financial statements for the year ended 31 December 2019 for the details on the restatement of these balances.

The translation reserve comprises the translation differences arising from the translation of the financial statements from the Company's functional currency to the presentation currency

INTERIM CONDENSED STATEMENT OF COMPREHENSIVE INCOME

	Unaudited 6 months ended 30 June 2020 Ushs million	Unaudited 6 months ended 30 June 2019 Ushs million
Profit for the period	21,767	61,238
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Exchange differences on translation from functional currency	17,852	41,184
Total comprehensive income for the period, net of tax	39,619	102,422

INTERIM CONDENSED STATEMENT OF FINANCIAL POSITION

	Unaudited 30 June 2020 Ushs million	Audited 31 December 2019 Ushs million
ASSETS		
Non-current assets		
Intangible assets	735,953	808,631
Other financial asset: Buy out amount	975,765	855,497
Concession financial asset	335,306	327,570
	2,047,024	1,991,698
Current assets		
Inventories	92,109	69,778
Current income tax recoverable	2,474	11,077
Contract assets	103,622	85,215
Trade and other receivables	242,918	216,309
Prepayments	126,684	68,501
Bank balances	28,272	99,196
	596,079	550,076
TOTAL ASSETS	2,643,103	2,541,774
EQUITY AND LIABILITIES		
Equity		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	567,797	546,030
Translation reserve	207,302	189,450
	873,139	833,520
Non-current liabilities		
Borrowings: non-current portion	376,330	428,457
Concession financial obligation	335,306	327,570
Long term incentive plan	882	866
Deferred tax liability	197,343	195,455
	909,861	952,348
Current liabilities		
Borrowings: current portion	125,249	128,477
Customer security deposits	504	492
Contract liabilities	148,080	138,095
Accrued expenses	13,753	15,704
Provisions	1,341	1,318
Trade and other payables	475,705	425,480
Bank overdrafts	95,471	46,340
	860,103	755,906
TOTAL EQUITY AND LIABILITIES	2,643,103	2,541,774

INTERIM CONDENSED STATEMENT OF CASH FLOWS

	Unaudited 6 months ended 30 June 2020 Ushs million	Unaudited 6 months ended 30 June 2019 Ushs million
Profit before tax	32,258	113,073
Adjustment for non-cash items:		
Amortisation of intangible assets	64,552	59,491
Write off and disposal of intangible assets	2,672	-
Interest on bank deposits	(375)	(136)
Finance income on other financial asset	(7,419)	(6,258)
Finance income on concession financial asset	(1,930)	(2,480)
Finance cost on concession obligation	1,930	2,480
Other financing costs	2,361	5,203
Expected credit losses on trade and other receivables	997	3,866
Interest expense on long and short term borrowings ¹	20,214	22,576
Unutilised long term incentive provision	-	(937)
Amortisation of deferred transaction costs	2,124	(26)
Cash flows before working capital changes	117,384	196,852
Changes in working capital items:		
Increase in inventories	(22,331)	(6,050)
Increase in contract assets	(18,407)	(96,619)
(Increase)/decrease in trade and other receivables	(27,606)	17,722
Increase in prepayments	(58,183)	(44,141)
Increase in contract liabilities	9,985	27,781
Decrease in accrued expenses	(1,951)	(7,306)
Increase in trade and other payables	50,225	58,369
Cash generated from operating activities	49,116	146,608
Interest received from banks	375	136
Current income tax paid	-	(5,566)
Long and short term borrowings interest paid	(21,957)	(23,195)
Other financing costs paid	(2,361)	(5,203)
Borrowings transactions paid	(1,057)	(516)
Long term incentive plan payment	-	(5,993)
Net cash flows from operating activities	24,116	106,271
Investing activities		
Purchase of intangible assets ¹	(77,740)	(29,011)
Net cash flows used in investing activities	(77,740)	(29,011)
Financing activities		
Dividends paid	-	(20,623)
Repayment of principal on long term borrowing facilities	(28,165)	(64,060)
Repayment of principal on short term borrowing facilities	(36,650)	(54,500)
Proceeds from short term borrowing facilities	-	54,500
Net cash flows used in financing activities	(64,815)	(84,683)
Net decrease in cash and cash equivalents	(118,439)	(7,423)
Cash and cash equivalents at 1 January	52,364	(18,712)
Translation differences	(1,628)	2,381
Cash and cash equivalents at 30 June	(67,703)	(23,754)

¹ 2020 balance excludes capitalised borrowing costs of Ushs 187 million.

The interim condensed financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The interim condensed financial statements do not include all the information and disclosures required in audited annual financial statements and should be read in conjunction with the Company's annual audited financial statements for the year ended 31 December 2019.

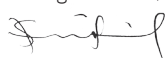
Message from the Directors

The interim condensed unaudited financial statements are extracts from the books of the Company. A copy of the interim condensed unaudited financial statements can be obtained at the Umeme Limited Head Office at Rwenzori House, Plot 1 Lumumba Avenue, Kampala Uganda and on www.umeme.co.ug.

The financial statements were approved by the Board of Directors on 14 August 2020, and were signed on its behalf by:



Chairman



Managing Director